



CIPHEX ALPHA

YE2025 Optimization Summary

Autonomous Market Intelligence and Portfolio Management

Phase II Precommercial Testing &
Optimization

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Scope and Data Basis

This FYE 2025 report incorporates results from two testing periods: **(1)** May 25 (inception) through November 30, 2025, and **(2)** December 1 through December 31, 2025. Where relevant, November 2025 performance is benchmarked against Bitcoin and Ethereum using historical snapshot pricing from [CoinMarketCap](#), and against traditional risk assets using published total return series for the S&P 500 and the Nasdaq 100.

Headline Results for FYE 2025

As of December 31, 2025, the CipheX Abacus AMS and EMS system (CipheX Alpha) delivered a total return since inception of **9.96%**, with a maximum drawdown of **11.46%** and a Capital Return Efficiency (CRE) of **0.87**. Risk-adjusted returns since inception stand at **5.78%**, indicating that volatility, drawdown depth, and execution costs meaningfully reduce retained performance. At this early stage of optimization, the system demonstrated a credible performance edge, while requiring further refinement in risk calibration and execution efficiency to achieve scalable, risk-normalized results suitable for commercial deployment.

Period Performance and Return Path

In 2025, a crypto-led drawdown in November was followed by stabilization and a partial recovery in December. The Abacus system declined **6.28%** from November 1 to November 30 and recovered **3.02%** in December, maintaining controlled capital deployment through the correction and into year-end. Importantly, Abacus is not designed to operate as a traditional investment fund, and its reported AUM reflects an internal optimization phase rather than deployed third-party capital. Industry research published by [CoinShares](#) shows that early-stage crypto hedge funds and trading platforms with comparable or smaller capital bases frequently experienced losses of approximately **15% or more** during similar market corrections, indicating that AUM size alone does not explain downside containment. In this context, the system's November performance reflects a genuine execution and risk-management edge driven by its price-predictive and exposure-control framework, rather than reduced market impact associated with lower AUM.

Drawdown Containment and Capital Preservation

During November, the system declined **6.28%**, as AUM decreased from approximately **\$307 thousand** at the start of the month to about **\$288 thousand** by month-end. The maximum peak-to-trough drawdown during the period reached **11.46%**, as AUM moved from a high near **\$310 thousand** to a low around **\$275 thousand**. This drawdown represents the primary constraint on full-year performance and results in a Capital Return Efficiency (CRE) of **0.87**. A CRE below 1.0 indicates that cumulative returns have not yet exceeded the system's largest drawdown, highlighting the need for continued refinement of drawdown controls rather than a structural weakness in the strategy.

As volatility expanded and short-horizon stability deteriorated, the system identified conditions in which loss absorption was preferable to continued exposure. Capital-at-risk was reduced through compressed position sizing and a coordinated derisking of aggregate exposure. Capital preservation preceded selective redeployment into lower-beta structures, during which correlation to core crypto benchmarks declined. These defensive adjustments were executed through the system's price-predictive framework and operated in a coordinated manner across strategies.



This integrated response limited the propagation of adverse price movement before drawdowns could compound. The controlled nature of the November drawdown preserved capital and execution capacity, enabling participation in the December recovery without requiring an aggressive increase in exposure as market conditions stabilized. This was not a full transition to cash, but a measured contraction of risk that preserved optionality. From an institutional risk perspective, the system prioritized loss containment over trade duration, demonstrating disciplined risk governance under stressed market conditions.

November 2025 Crypto Correction Comparables

November 2025 represented a crypto-specific market correction, making Bitcoin and Ethereum the most relevant benchmarks. Based on [CoinMarketCap](#) historical snapshots, Bitcoin declined from approximately \$110,064 on November 1 to \$90,394 by November 30, a drawdown of roughly **17.9%**. Over the same period, Ethereum fell to approximately \$2,992, representing a decline of about **22.8%**. In contrast, traditional markets remained comparatively stable throughout November. [YCharts](#) reports that the S&P 500 delivered an approximate monthly total return of **+0.25%**, while the Nasdaq 100 Total Return Index declined by **1.57%**, according to data published by Nasdaq ([Nasdaq Global Index Watch](#)). Against this backdrop, the Abacus system demonstrated effective downside containment relative to core crypto benchmarks, indicating its risk controls and exposure management operated as intended.

Asset / Benchmark	Nov-2025 Return/ Drawdown	Market Context
S&P 500	+0.13%	Traditional equities broadly stable
Nasdaq 100 Total Return Index	-1.51%	Mild drawdown in large-cap growth
Bitcoin	-16.9%	Crypto-led selloff (Alpha Node Capital)
Ethereum	-21.2%	Deeper crypto drawdown (Alpha Node Capital)
Early-Stage Crypto/ Crypto Hedge Funds (Indicative)	~-8% to -23%	Crypto hedge funds faced broad weakness in November 2025 (SQ Magazine)
Abacus System	-6.28% period decline -11.46% max drawdown	Controlled downside during crypto stress

December 2025 Recovery Quality and Efficiency

December delivered a **3.02% gain**, moving the system back toward prior equity levels and confirming its ability to sustain market engagement both during stress and in the aftermath of a drawdown. For testing purposes, risk-adjusted returns are calculated by subtracting the prevailing US 10-year Treasury Note yield at each valuation point, isolating performance generated above a risk-free benchmark. Since inception, this methodology produces a **5.78%** risk-adjusted return versus a **9.96%** total return, indicating that volatility exposure, timing dispersion, and execution costs materially reduced retained performance. This spread between total and risk-adjusted returns represents a core focus of ongoing system optimization rather than a degradation of underlying signal quality.





Execution Friction and Transaction Costs

The system attempts to separate trade-level fees and slippage by exchange venue, making execution costs easier to diagnose where venue-level data is available. In crypto markets, these costs can fluctuate widely, and fee disclosures vary across venues with no consistent reporting standards. December data show that combined trade fees, slippage, and related transaction costs ranged from approximately **0.60%** to around **2.0%**, materially reducing net performance. Accordingly, improving execution efficiency remains a core optimization priority at this stage, with the objective of enhancing returns without increasing market exposure.

Conclusion for FYE 2025

From an institutional perspective, the FYE 2025 results confirm that the system functions as a risk-managed capital engine rather than a pro-cyclical trading vehicle. Down-market alpha in November was generated through structural risk discipline rather than directional prediction. FYE 2025 demonstrated credible downside containment during a meaningful crypto correction, supported by November Bitcoin and Ethereum pricing from [CoinMarketCap](#) historical snapshots. The primary constraint at this stage is efficiency rather than edge, as maximum drawdown remains high relative to total return. Capital Return Efficiency (CRE) remains below 1.0, making risk-adjusted performance and improved risk-state calibration an optimization priority during precommercial testing. As these optimization efforts progress, the existing performance profile has a clear path to higher CRE and stronger risk-adjusted results without increasing directional market exposure.

FY2026 Phase III of V Optimization Requirements

As system optimization continues, Abacus deliberately maintains higher trading intervals to support deeper signal analysis, isolate execution behavior, and evaluate optimization outcomes through internal expert contributors. These initiatives focus on improving execution quality and strengthening downside controls across varying market conditions. In parallel, strategy-based rules are refined to prioritize risk reduction during sudden or prolonged stress events, with position reentry treated as a deliberate strategic process rather than a linear profit and loss response or conventional modeling assumption.

The objective of Optimization Phase III is to enhance adaptive risk awareness, gradually reduce trading frequency through higher-confidence setups and improved target identification logic, and decrease manual oversight as automation confidence increases. Collectively, these improvements are intended to increase probability consistency and return quality across multiple asset classes and market environments.

End of Report

